Business Rules

Arati Business ERP

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Status: Business Rules Baseline — Draft for Confirmation
Project: Arati Business ERP
Primary Scope: Distribution + Wholesale + Retail + Inventory ERP
Accounting Integration: TallyPrime

Related Documents

- `BRD.md`
- `SRS.md`
- `ARCHITECTURE_v2.0.md`
- `PROTECTION.md`
- `TECHSTACK_v1.1.md`
- `DATABASE.md`
- `API.md`
- `TALLY-INTEGRATION.md`

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1. Purpose

This document defines the business rules that govern ERP behavior.

A business rule is a policy or invariant that must remain true regardless of whether the operation originates from:

- ERP web UI
- POS
- API
- Import
- Background job
- Integration

This document is intentionally strict about unknown policies.

> If actual business practice is unknown, the system must not invent a policy.
> Mark it **TBD — Business Confirmation Required**.

Rules are written so they can later become:

- Application/domain logic
- Database constraints
- API validation
- Permissions
- Workflow states
- Automated tests
- Audit requirements

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2. Rule Classification

Each rule should eventually be classified:

Priority	Meaning
P0	Mandatory for correctness/security
P1	Important operational rule
P2	Optional/future
TBD	Business confirmation required

The absence of a confirmed rule must not be silently treated as permission to implement arbitrary behavior.

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3. Core Business Principles

BR-CORE-001 — Generic Business Model

The ERP shall not contain business rules hard-coded to specific brands, suppliers, customers, dealers, products, or models.

BR-CORE-002 — Operational Source of Truth

The ERP is the operational source of truth for products, parties, inventory, purchases, sales, returns, fulfilment, delivery, installation, warranty, and operational transactions.

BR-CORE-003 — Accounting Boundary

TallyPrime is the accounting platform for the initial release. The ERP shall not attempt to reproduce the complete accounting system in the MVP.

BR-CORE-004 — No Silent Historical Changes

Important posted transactions shall not be silently edited or deleted.

Corrections shall use an approved mechanism such as:

- Cancellation
- Reversal
- Return
- Adjustment
- Corrective transaction

BR-CORE-005 — Traceability

Important operations shall be traceable to:

- User
- Date/time
- Organization/branch
- Affected entity
- Source document where applicable
- Reason where applicable

BR-CORE-006 — Server Authority

Business rules must be enforced server-side. Frontend validation is supplementary.

BR-CORE-007 — Transaction Atomicity

Where a business operation changes multiple related records, the operation must commit atomically.

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4. Organization Rules

BR-ORG-001

Every operational business transaction shall belong to an organization.

BR-ORG-002

A transaction shall belong to a branch where branch-level operation is enabled.

BR-ORG-003

Inventory shall belong to a warehouse/location.

BR-ORG-004

Users may operate only within organization/branch/location scopes they are authorized to access.

BR-ORG-005

The initial deployment may use one organization, one branch, and one warehouse.

BR-ORG-006

Adding branches or warehouses shall not require redesign of the core business model.

BR-ORG-007

Cross-branch stock movement must be an explicit transfer operation, not an implicit stock change.

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5. User and Authorization Rules

BR-USER-001

Protected ERP functions require authentication.

BR-USER-002

A user may perform an operation only when the required permission is granted.

BR-USER-003

Authorization shall be enforced by the backend.

BR-USER-004

Object-level access shall be checked for records that have organization/branch/location scope.

BR-USER-005

Sensitive operations should require elevated permissions.

Examples:

- Stock adjustment
- Transaction cancellation

- Payment reversal
- Price override
- Large discount
- User management
- Permission management
- Tally configuration
- Manual Tally retry/reconciliation
- Important master-data changes

BR-USER-006

Exact permission catalog and approval authority are maintained in security/application design.

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6. Master Data Rules

6.1 General

BR-MASTER-001

Master records must have a controlled lifecycle.

BR-MASTER-002

Referenced master records should normally be deactivated rather than deleted.

BR-MASTER-003

Inactive masters must not normally be selectable for new transactions.

BR-MASTER-004

Historical transactions must continue to display the master information applicable to them.

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7. Product Rules

BR-PROD-001 — Product Identity

Every sellable/stockable product variant shall have a unique business identifier such as SKU.

The exact uniqueness scope is:

TBD — Business Confirmation Required

BR-PROD-002 — Product Status

Only active and saleable products may be used in new sales.

BR-PROD-003 — Product Tracking

Each stockable product variant shall have an applicable tracking mode:

- Quantity
- Serial
- Batch
- Hybrid

BR-PROD-004 — Product Variant

A model/variant requiring independent inventory, SKU, barcode, pricing, tax treatment, or tracking shall be represented as a distinct variant.

BR-PROD-005 — Historical Pricing

Changing current pricing must not alter historical transaction prices.

BR-PROD-006 — Product Deactivation

Deactivating a product must not invalidate historical purchases, sales, returns, or reports.

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8. Serial Number Rules

BR-SERIAL-001

A serial number shall uniquely identify a physical unit within the configured uniqueness scope.

BR-SERIAL-002

A serial-tracked product cannot be received into stock without its required serial information.

BR-SERIAL-003

Only an eligible/available serial may be sold.

BR-SERIAL-004

A sold serial cannot be sold again unless a valid return/resale workflow has restored its eligibility.

BR-SERIAL-005

Serial movement must preserve serial identity.

BR-SERIAL-006

A serial's current state must be consistent with its authoritative inventory history.

BR-SERIAL-007

Concurrent transactions must prevent the same serial from being consumed twice.

BR-SERIAL-008

Serial lifecycle states shall be controlled.

Candidate states:

RECEIVED
IN_STOCK
RESERVED
SOLD
RETURNED
REPAIR
DAMAGED
SCRAPPED

Final lifecycle states:

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9. Batch Rules

BR-BATCH-001

Batch-tracked products must preserve batch identity through applicable inventory movements.

BR-BATCH-002

A batch may contain:

- Batch number
- Product variant
- Quantity
- Manufacturing date where applicable
- Expiry date where applicable

BR-BATCH-003

Batch quantities must not become negative unless an explicitly approved exception exists.

BR-BATCH-004

Expiry-sensitive stock shall follow configured expiry rules.

Exact behavior:

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BR-BATCH-005

If one document line can contain multiple batches, the system must support explicit batch allocation.

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10. Party Rules

BR-PARTY-001 — Central Party

Customers, dealers, suppliers, distributors, and other business relationships shall use a common party model.

BR-PARTY-002 — Multiple Roles

One party may have multiple roles.

Example:

ABC Enterprises
├── CUSTOMER
├── DEALER
└── SUPPLIER

BR-PARTY-003 — Party Status

Inactive parties shall not normally be selectable for new transactions.

BR-PARTY-004 — Party Identity

Party identification and contact information must be stored consistently.

Exact mandatory fields:

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BR-PARTY-005 — Payment Terms

Payment terms may be configured per party.

BR-PARTY-006 — Credit Limit

A party may have a configurable credit limit.

BR-PARTY-007 — Credit Enforcement

Possible enforcement modes:

BLOCK
WARN
REQUIRE AUTHORIZATION
ALLOW

Final policy:

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11. Pricing Rules

BR-PRICE-001

The system shall support multiple price lists.

Examples:

- Retail
- Wholesale
- Dealer
- Promotional
- Party-specific

BR-PRICE-002

Applicable price shall be determined using configured factors such as:

- Product/variant
- Party
- Sale type
- Quantity
- Effective date
- Price list
- Promotion

BR-PRICE-003

A price rule must not rewrite historical transaction prices.

BR-PRICE-004

Manual price overrides require the configured permission.

BR-PRICE-005

Discounts should be recorded distinctly from the base price where practical.

BR-PRICE-006

The final transaction price must be stored on the transaction so historical documents remain stable even if pricing rules later change.

BR-PRICE-007

Price precedence must be deterministic.

Exact precedence:

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BR-PRICE-008

Expired price-list entries must not be applied to new transactions unless explicitly allowed by configuration.

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12. Tax Rules

BR-TAX-001

Tax must be calculated using the approved tax configuration.

BR-TAX-002

Historical tax values must remain part of the historical transaction.

BR-TAX-003

Changing tax configuration must not rewrite existing posted documents.

BR-TAX-004

The exact GST/tax calculation policy is:

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This includes, where applicable:

- Tax-inclusive vs tax-exclusive pricing
- CGST/SGST/IGST
- Place-of-supply rules
- HSN/SAC
- Tax exemptions
- Rounding
- Tax overrides

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13. Inventory Rules

BR-INV-001 — Central Inventory

Retail, wholesale, and dealer operations shall use the same inventory engine.

BR-INV-002 — Stock Source

Every stock movement must originate from a valid business event.

Examples:

- Opening stock
- Goods receipt
- Sale
- Sales return
- Purchase return
- Transfer
- Adjustment

- Damage
- Internal use
- Other approved event

BR-INV-003 — No Direct Stock Editing

Users must not directly overwrite current stock.

BR-INV-004 — Movement Ledger

Stock-affecting operations must create traceable movement records.

BR-INV-005 — Balance Projection

Current stock may be maintained as a derived/optimized balance projection, but it must remain consistent with authoritative movement history.

BR-INV-006 — Location

Stock belongs to an inventory location.

BR-INV-007 — Negative Stock

Default rule:

Negative available stock is blocked.

Exceptions:

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BR-INV-008 — Atomic Stock Change

Stock changes must commit atomically with the business operation that caused them.

BR-INV-009 — Concurrency

Concurrent users must not consume the same stock twice.

BR-INV-010 — Adjustment

Manual stock adjustments require:

- Authorization
- Reason
- Product
- Location
- Quantity
- Applicable serial/batch data

- Audit record

BR-INV-011 — Opening Stock

Opening stock must be created through a controlled opening-stock transaction or approved migration.

BR-INV-012 — No Phantom Stock

A failed or rolled-back transaction must not leave stock changed.

BR-INV-013 — No Phantom Transaction

A stock movement must not exist without its required source/business context.

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14. Stock Transfer Rules

BR-TRANSFER-001

A transfer must identify:

- Source location
- Destination location
- Product
- Quantity
- Serial/batch information where applicable
- User
- Date/time
- Status

BR-TRANSFER-002

A transfer must not create or destroy stock.

BR-TRANSFER-003

Source stock must be validated before transfer-out.

BR-TRANSFER-004

Serialized transfers must identify the exact serial units.

BR-TRANSFER-005

Batch transfers must preserve batch identity where required.

BR-TRANSFER-006

If an in-transit state is supported, stock ownership/availability during transit must follow an explicit rule.

Policy:

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15. Purchase Rules

BR-PUR-001

A purchase must reference a valid supplier/party.

BR-PUR-002

Purchase orders may be used where required.

BR-PUR-003

A purchase order is not automatically required for every purchase unless configured as mandatory.

BR-PUR-004

Receiving goods increases inventory only through an approved goods-receipt/receiving workflow.

BR-PUR-005

Partial receipt against a purchase order must be supported.

BR-PUR-006

A purchase order may have multiple receipts where the workflow permits partial receiving.

BR-PUR-007

Serialized products received into stock must record applicable serial numbers.

BR-PUR-008

Batch-tracked products received into stock must record applicable batch information.

BR-PUR-009

Purchase invoice must capture applicable supplier, item, quantity, pricing, tax, and totals.

BR-PUR-010

Purchase receipt and purchase invoice must not be assumed to be the same business event.

BR-PUR-011

The system must support the possibility that one purchase invoice relates to multiple receipts where the actual workflow requires it.

BR-PUR-012

Supplier payable is created/updated according to the approved financial workflow.

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16. Sales Rules

BR-SALE-001

Only active and saleable products may be added to a new sale.

BR-SALE-002

Stock-affecting sales must validate inventory before posting.

BR-SALE-003

Serialized sales must identify eligible serial units.

BR-SALE-004

Batch-tracked sales must use valid batch allocations where required.

BR-SALE-005

Applicable pricing must be resolved before posting.

BR-SALE-006

Manual price/discount overrides require configured permission.

BR-SALE-007

Applicable tax must be calculated according to approved tax configuration.

BR-SALE-008

A posted stock-affecting sale must create the corresponding inventory movement.

BR-SALE-009

Sale, inventory, serial/batch state, and payment allocation changes must follow the appropriate transaction boundary.

BR-SALE-010

Retail, wholesale, and dealer sales use the same underlying sales domain.

BR-SALE-011

Historical sales retain the price, discount, tax, and item values that were posted at the time.

BR-SALE-012

A completed sale must have a controlled payment status.

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17. POS Rules

BR-POS-001

POS shall use the same sales and inventory engine as normal sales.

BR-POS-002

POS shall optimize for rapid entry without weakening validation.

BR-POS-003

A walk-in customer may be supported if configured.

BR-POS-004

POS must record payment status before considering the transaction complete.

BR-POS-005

A completed stock-affecting POS sale updates inventory through the normal inventory engine.

BR-POS-006

A POS network/client failure must not result in the UI claiming success when the authoritative transaction did not commit.

BR-POS-007

If offline POS is ever introduced, it requires a separate approved architecture and conflict strategy.

It is **not part of the initial architecture by default**.

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18. Wholesale and Dealer Rules

BR-DEALER-001

Dealer/wholesale sales shall be associated with the appropriate party.

BR-DEALER-002

Dealer/wholesale pricing follows configured pricing rules.

BR-DEALER-003

Dealer/wholesale payment terms follow party configuration.

BR-DEALER-004

Credit sales create receivables according to approved financial rules.

BR-DEALER-005

Credit-limit exceptions require the configured authorization.

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19. Quotation Rules

BR-QUOTE-001

A quotation does not reduce physical stock by default.

BR-QUOTE-002

A quotation may have a validity date.

BR-QUOTE-003

A quotation does not automatically become a sale.

BR-QUOTE-004

Quotation conversion must preserve traceability to the original quotation.

BR-QUOTE-005

Whether a quotation locks a price for its validity period is:

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20. Sales Order Rules

BR-ORDER-001

A sales order is distinct from an invoice.

BR-ORDER-002

A sales order does not reduce physical stock by default.

BR-ORDER-003

If stock reservation is enabled, reserved stock must be distinguished from available stock.

BR-ORDER-004

Partial fulfilment must be supported where required.

BR-ORDER-005

Whether sales orders reserve stock in the initial release is:

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21. Payment Rules

BR-PAY-001 — Independent Payment

Payments are independent financial records.

BR-PAY-002 — Partial Payment

An invoice may be settled through multiple payments.

BR-PAY-003 — Multiple Allocation

One payment may be allocated across multiple invoices.

BR-PAY-004 — Advance Payment

Advance/unallocated payments may exist before invoice allocation if permitted.

BR-PAY-005 — Allocation Limit

A payment must not be allocated beyond its available amount.

BR-PAY-006 — Invoice Allocation Limit

An invoice must not be allocated beyond the amount permitted by the financial workflow.

BR-PAY-007 — Payment Reference

Non-cash payments should capture an applicable reference.

BR-PAY-008 — Payment Reversal

Payment reversal must be controlled, auditable, and must not silently alter historical payment history.

BR-PAY-009 — Overpayment

Overpayment treatment is:

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Possible policy:

- Customer credit
- Advance balance

- Block
- Manual review

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22. Receivables Rules

BR-AR-001

Unpaid or partially paid credit sales create receivables according to configured terms.

BR-AR-002

Valid payment allocation reduces receivable balance.

BR-AR-003

Receivable calculations must use authoritative posted transaction/payment data.

BR-AR-004

The system should distinguish where applicable:

- Outstanding
- Due
- Overdue
- Advance/credit balance

BR-AR-005

Credit-limit calculations must use the approved definition of relevant outstanding amounts.

Exact treatment of:

- Overdue amounts
- Pending transactions
- Reserved orders
- Disputed amounts

is:

TBD — Business Confirmation Required

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23. Payables Rules

BR-AP-001

Unpaid supplier purchases create payables according to the approved financial workflow.

BR-AP-002

Supplier payments reduce payable balances when validly allocated.

BR-AP-003

Supplier payment reversals must preserve historical traceability.

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24. Sales Return Rules

BR-SRET-001

A sales return should reference the original sale where possible.

BR-SRET-002

Returned quantity must not exceed eligible quantity unless an authorized exception exists.

BR-SRET-003

Serialized returns must identify the exact serial unit.

BR-SRET-004

Batch returns must identify applicable batch information.

BR-SRET-005

A returned product requires an applicable disposition decision.

Candidate dispositions:

RESELLABLE
REPAIR_REQUIRED
DAMAGED
SCRAP
SUPPLIER_RETURN

BR-SRET-006

Only a return classified as resalable may automatically re-enter sellable stock.

BR-SRET-007

A return requiring inspection must not be treated as sellable stock before the required decision.

BR-SRET-008

Sales returns create appropriate inventory and financial effects.

BR-SRET-009

Return approval requirements are:

TBD — Business Confirmation Required

BR-SRET-010

Return inspection workflow is:

TBD — Business Confirmation Required

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25. Purchase Return Rules

BR-PRET-001

A purchase return should reference the original purchase/receipt where possible.

BR-PRET-002

Returned quantity must not exceed eligible received quantity unless an authorized exception exists.

BR-PRET-003

Purchase returns reduce the appropriate inventory.

BR-PRET-004

Serialized/batch identity must be preserved where applicable.

BR-PRET-005

Supplier financial impact must be recorded for the operational and accounting workflow.

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26. Credit Rules

BR-CREDIT-001

Credit limits may be configured per party.

BR-CREDIT-002

Available credit may conceptually be calculated as:

Available Credit
=
Credit Limit
-
Relevant Outstanding Exposure

BR-CREDIT-003

The definition of relevant outstanding exposure must be approved.

BR-CREDIT-004

When a credit rule is violated, the configured action applies:

BLOCK
WARN
REQUIRE AUTHORIZATION
ALLOW

BR-CREDIT-005

Authorized credit exceptions must be auditable.

BR-CREDIT-006

Credit rules must not be enforced only through frontend warnings.

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27. Document Numbering Rules

BR-DOC-001

Important business documents shall have unique business identifiers.

BR-DOC-002

Document numbers must remain stable after posting unless an approved correction mechanism requires otherwise.

BR-DOC-003

Numbering must prevent accidental duplicate document identifiers.

BR-DOC-004

Exact numbering format, prefix, branch sequence, financial-year sequence, and reset policy are:

TBD — Business Confirmation Required

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28. Transaction Lifecycle Rules

BR-STATUS-001

Every document shall use only states appropriate to its workflow.

Typical states:

DRAFT
CONFIRMED
POSTED
COMPLETED
CANCELLED
REVERSED

BR-STATUS-002

Only valid state transitions may occur.

BR-STATUS-003

Posted transactions shall not normally be freely edited.

BR-STATUS-004

Completed transactions shall not be silently deleted.

BR-STATUS-005

Cancellation/reversal must preserve historical traceability.

BR-STATUS-006

A transaction must not appear completed to the user unless the authoritative operation committed successfully.

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29. Cancellation and Reversal Rules

BR-CANCEL-001

Cancellation is a controlled business action.

BR-CANCEL-002

Cancellation of a posted transaction must apply the appropriate reversal effects.

BR-CANCEL-003

A cancellation must not simply erase the original transaction.

BR-CANCEL-004

The user performing cancellation must have appropriate permission.

BR-CANCEL-005

Cancellation reason should be recorded where required.

BR-CANCEL-006

Whether a specific document type can be cancelled after downstream fulfilment/payment/Tally synchronization is:

TBD — Business Confirmation Required

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30. Approval Rules

Potential approval-controlled operations include:

- Large discounts

- Price overrides
- Stock adjustments
- High-value purchases
- High-value sales
- Credit-limit exceptions
- Payment reversals
- Transaction cancellation
- Manual Tally corrections

BR-APPROVAL-001

Approval requirements must be enforced server-side.

BR-APPROVAL-002

An approval must identify:

- Requesting user
- Approving user
- Action
- Amount/value where applicable
- Date/time
- Decision
- Reason where required

BR-APPROVAL-003

Approval thresholds and authority levels are:

TBD — Business Confirmation Required

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31. Delivery Rules

BR-DEL-001

A delivery must reference a valid sale/order/fulfilment source.

BR-DEL-002

Delivery may support partial fulfilment.

BR-DEL-003

Delivery status shall be controlled.

Candidate states:

PENDING
READY
OUT_FOR_DELIVERY
DELIVERED
CANCELLED

BR-DEL-004

Delivered status must record delivery date/time.

BR-DEL-005

Delivery confirmation requirements are:

TBD — Business Confirmation Required

BR-DEL-006

Delivery must not silently alter invoice financial state unless an explicit business rule says so.

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32. Installation Rules

BR-INST-001

Installation is optional.

BR-INST-002

Installation may only be created for products/orders requiring installation.

BR-INST-003

Installation should identify applicable sale/order, customer/site, assigned person/team, and status where required.

BR-INST-004

Candidate statuses:

PENDING
SCHEDULED
IN_PROGRESS

COMPLETED
CANCELLED

BR-INST-005

Installation completion requirements are:

TBD — Business Confirmation Required

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33. Warranty Rules

BR-WAR-001

Warranty shall be linked to the applicable product/sale/serial context.

BR-WAR-002

Serialized products should use the applicable serial unit as the primary physical-unit reference.

BR-WAR-003

Warranty start date is:

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Possible basis:

- Sale date
- Delivery date
- Installation date
- Manufacturer activation date
- Other approved date

BR-WAR-004

Warranty expiry shall be calculated or stored according to the approved warranty period.

BR-WAR-005

Warranty history must remain traceable to the relevant product/serial/customer/sale.

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34. Reporting Rules

BR-REPORT-001

Reports must respect user authorization and data scope.

BR-REPORT-002

Reports must use authoritative operational data.

BR-REPORT-003

Historical reports must remain consistent with historical posted transactions.

BR-REPORT-004

Reports must not modify transactional records.

BR-REPORT-005

Large reports may execute asynchronously.

BR-REPORT-006

Financial/accounting reports requiring Tally as the authoritative accounting source must clearly identify their source.

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35. TallyPrime Rules

BR-TALLY-001 — ERP Independence

ERP operations do not require successful Tally synchronization.

BR-TALLY-002 — Eligible Transactions

Only approved transaction types enter Tally synchronization.

Exact eligibility:

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BR-TALLY-003 — Durable Sync State

Synchronization state must be persisted durably.

BR-TALLY-004 — Controlled Sync Lifecycle

Candidate lifecycle:

PENDING
PROCESSING
SYNCED
FAILED
RETRYING
MANUAL_REVIEW

BR-TALLY-005 — Retry

Failed synchronization must be retryable where the failure is retryable.

BR-TALLY-006 — Idempotency

Retrying must not create duplicate Tally vouchers.

BR-TALLY-007 — Stable Identity

ERP transaction identity must remain stable across retries.

BR-TALLY-008 — Error Isolation

Tally errors must not corrupt or roll back the original valid ERP transaction.

BR-TALLY-009 — Manual Retry

Authorized users may retry failed synchronization.

BR-TALLY-010 — Reconciliation

The system shall identify transactions whose ERP/Tally state does not match expected synchronization state.

BR-TALLY-011 — Mapping

ERP entities requiring Tally mapping shall have controlled mappings.

BR-TALLY-012 — Accounting Ownership

Exact voucher/account/ledger mappings belong in `TALLY-INTEGRATION.md`.

BR-TALLY-013 — Direction

The exact synchronization direction is:

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BR-TALLY-014 — Duplicate Risk

Timeouts or ambiguous external responses must be handled as potential duplicate-risk conditions, not automatically retried blindly.

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36. Audit Rules

BR-AUDIT-001

Critical business operations shall generate audit records.

BR-AUDIT-002

Audit records should capture:

User
Action
Entity
Entity ID
Timestamp
Organization / Branch
Previous Value where appropriate
New Value where appropriate
Reason where appropriate
Correlation / Request ID
Reference Transaction

BR-AUDIT-003

Normal users must not be able to modify audit records.

BR-AUDIT-004

Audit records must not contain plaintext secrets or unnecessary sensitive credentials.

BR-AUDIT-005

Audit history must remain traceable even when the underlying master becomes inactive.

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37. Data Deletion Rules

BR-DATA-001

Master data should normally be deactivated when historical records depend on it.

BR-DATA-002

Posted inventory and financial transactions must not normally be hard-deleted.

BR-DATA-003

Deletion permissions must be restricted.

BR-DATA-004

Deletion of any historically significant record must follow retention and business/legal requirements.

BR-DATA-005

Data cleanup must not break historical reports or transaction traceability.

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38. Notification Rules

The system may notify users about:

- Low stock
- Overdue payments
- Credit-limit violations
- Failed Tally synchronization
- Pending approvals
- Pending deliveries
- Warranty expiry

BR-NOTIFY-001

Optional notification failure must not roll back a valid core ERP transaction.

BR-NOTIFY-002

Notifications should be actionable and avoid unnecessary duplication.

BR-NOTIFY-003

Users should receive only notifications they are authorized to see.

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39. Security Rules

BR-SEC-001

Passwords must never be stored in plaintext.

BR-SEC-002

Production secrets must not be committed to source control.

BR-SEC-003

Sensitive operations require appropriate authorization.

BR-SEC-004

Authorization must be checked server-side.

BR-SEC-005

Object-level authorization must protect branch/location/business records.

BR-SEC-006

Audit records must protect historical integrity.

BR-SEC-007

Files must be protected according to their business sensitivity.

BR-SEC-008

Sensitive information must not be unnecessarily written to logs.

Detailed security requirements belong in `PROTECTION.md`.

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40. Import Rules

BR-IMPORT-001

Imports must be authenticated and authorized.

BR-IMPORT-002

Imported records must pass applicable business validation.

BR-IMPORT-003

Imports must not bypass inventory, pricing, financial, or authorization rules merely because they are bulk operations.

BR-IMPORT-004

Failed imports should provide actionable error information.

BR-IMPORT-005

Important bulk operations must be auditable.

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41. Export Rules

BR-EXPORT-001

Exports must respect user permissions.

BR-EXPORT-002

Sensitive data must not be included unless the user is authorized.

BR-EXPORT-003

Large exports may be processed asynchronously.

BR-EXPORT-004

Generated export files should be protected and access-controlled.

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42. Data Consistency Rules

BR-CONS-001

A transaction cannot be reported as successful unless its authoritative database transaction commits.

BR-CONS-002

Related critical changes must be atomic.

BR-CONS-003

Inventory balances must remain consistent with inventory movements.

BR-CONS-004

Payment allocations must remain consistent with payment and invoice amounts.

BR-CONS-005

Serial state must remain consistent with serial movement history.

BR-CONS-006

Historical transaction values must not be recalculated from current master data in a way that changes their historical meaning.

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43. Concurrency Rules

BR-CONC-001

Concurrent users must not be able to consume the same stock beyond the approved policy.

BR-CONC-002

Concurrent sale attempts for the same serial must not both succeed.

BR-CONC-003

Concurrent payment allocation must not over-allocate the payment/invoice.

BR-CONC-004

Concurrent stock adjustment must not silently overwrite another adjustment.

BR-CONC-005

The implementation must use appropriate database transaction/locking mechanisms.

---

44. Data and Document Traceability

BR-TRACE-001

A business transaction should be traceable backward to its source and forward to its operational effects.

Example:

Purchase
↓
Goods Receipt
↓
Inventory
↓
Sale
↓
Delivery
↓
Warranty

BR-TRACE-002

Where applicable, a sale should trace to:

- Customer/party
- Source quotation/order
- Inventory movements
- Serial/batch
- Payment
- Delivery
- Installation
- Warranty
- Tally synchronization

BR-TRACE-003

Where applicable, a purchase should trace to:

- Supplier
- Purchase order

- Goods receipt
- Inventory
- Payment/payable
- Tally synchronization

---

45. Business Rule Enforcement Matrix

Rule Type	Primary Enforcement
Authentication	Auth layer
Authorization	Backend authorization
Object access	Backend + query scoping
Required fields	API + database
Unique SKU/identifier	Database + application
Stock availability	Inventory domain + transaction/locking
Serial uniqueness	Database + inventory domain
Payment allocation	Payment domain + transaction
State transitions	Domain/application
Historical preservation	Domain + database
Audit	Application/domain
Tally idempotency	Integration layer + database
File access	Authorization + storage controls

---

46. Rule-to-Test Principle

Every P0 rule should eventually have an automated test.

Example:

Rule:
A sold serial cannot be sold again.

Test:

1. Receive SN-001.
2. Sell SN-001.
3. Attempt second sale of SN-001.

Expected:
Second sale is rejected.

Other mandatory test categories should include:

- Concurrent stock sale
- Duplicate payment allocation
- Unauthorized adjustment
- Cross-branch access
- Duplicate Tally retry
- Cancellation traceability
- Return disposition
- Historical price preservation

---

47. Business Rule Change Control

When a rule changes, record:

- Rule ID
- Previous rule
- New rule
- Reason
- Business impact
- Technical impact
- Approval
- Date
- Affected documents

A rule change should trigger review of affected:

- SRS
- Architecture
- Database
- API
- Tally integration
- Tests
- UI/UX

---

48. Rules Requiring Business Confirmation

The following are intentionally **not invented** and require confirmation from actual business practice/management:

1. Credit-limit enforcement.
2. Negative-stock exceptions.
3. GST/tax calculation.
4. Tax-inclusive/exclusive pricing.
5. Invoice numbering.
6. Financial-year numbering behavior.
7. Stock valuation method.
8. Warranty start date.
9. Warranty duration/source.
10. Return approval.
11. Return inspection.
12. Return disposition authority.
13. Discount thresholds.
14. Price override permissions.
15. Purchase approval thresholds.
16. Sales approval thresholds.
17. Credit-sale approval thresholds.
18. Payment overage/advance handling.
19. Batch expiry handling.
20. Delivery confirmation requirements.
21. Installation workflow.
22. Sales-order stock reservation.
23. Quotation price locking.
24. Branch/location access rules.
25. Exact Tally voucher mapping.
26. Tally synchronization direction.
27. Tally master synchronization scope.
28. Tally reconciliation policy.
29. Data retention periods.
30. User-specific approval limits.
31. Cancellation rules after payment.
32. Cancellation rules after delivery.
33. Cancellation rules after Tally synchronization.
34. Treatment of damaged/repair stock.
35. Treatment of internal-use stock.
36. Whether stock transfer is immediate or in-transit.
37. Mandatory purchase-order workflow.
38. Whether one purchase invoice can cover multiple receipts.
39. Exact customer/dealer balance calculation.
40. Rounding rules for monetary/tax calculations.

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49. Current P0 Rules

The following areas are P0 because incorrect behavior can damage inventory, financial integrity, security, or auditability:

- Inventory integrity
- Serial integrity
- Batch integrity where applicable
- Sales integrity
- Purchase receiving integrity
- Payment allocation integrity
- Authorization
- Branch/location isolation
- Transaction atomicity
- Historical transaction preservation
- Auditability
- Tally duplicate protection
- Tally error isolation
- Data consistency
- Concurrency protection

---

50. Current P1 Rules

Examples:

- Pricing precedence
- Delivery workflow
- Installation workflow
- Warranty workflow
- Notifications
- Advanced reporting
- Import/export workflows
- Approval workflows beyond critical controls

These become P0 when required for a specific production workflow.

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51. Current P2 / Future Rules

Examples:

- Offline POS
- Dedicated search engine
- Advanced promotion engine
- Advanced service management
- Advanced analytics
- Additional external integrations

These must not complicate the initial ERP architecture without a confirmed requirement.

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52. Final Business Rule Principles

The following principles are non-negotiable unless formally changed:

1. **Do not invent business policy.**
2. **Business rules are server-enforced.**
3. **Critical transactions are atomic.**
4. **Inventory is controlled through the inventory engine.**
5. **Stock cannot be silently overwritten.**
6. **Serialized stock cannot be sold twice.**
7. **Payment allocations cannot exceed permitted amounts.**
8. **Historical posted transactions remain traceable.**
9. **Retail, wholesale, and dealer operations share the same core domains.**
10. **Tally failure does not invalidate a valid ERP transaction.**
11. **Tally retries must be idempotent.**
12. **Cross-branch access must be authorized.**
13. **Critical changes must be auditable.**
14. **Master data is normally deactivated rather than historically deleted.**
15. **Unknown policy is explicitly marked TBD.**

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53. Relationship With Project Documents

BRD
↓
Business intent
↓
SRS
↓
System requirements
↓
BUSINESS-RULES

↓
Authoritative business behavior
↓
ARCHITECTURE
↓
System enforcement structure
↓
DATABASE
↓
Data integrity implementation
↓
API
↓
Application contracts
↓
TALLY-INTEGRATION
↓
Accounting integration behavior
↓
TESTS
↓
Verified business behavior

When a business rule conflicts with an implementation detail, the business rule must be reviewed rather than silently bypassed.

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54. Document Status

Version: 1.0
Status: Business Rules Baseline — Draft for Business Confirmation
Supersedes: `BUSINESS-RULES.md` v0.1

Next Review: Business workflow confirmation before database/implementation freeze